

Fearnleys Dry Bulk Weekly

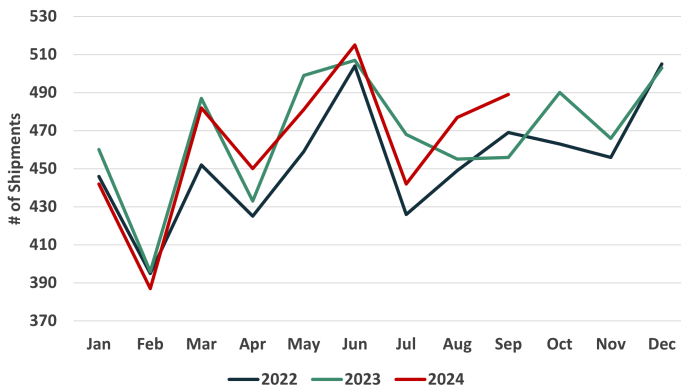
Oct 30, 2024

Bernhard Baardson

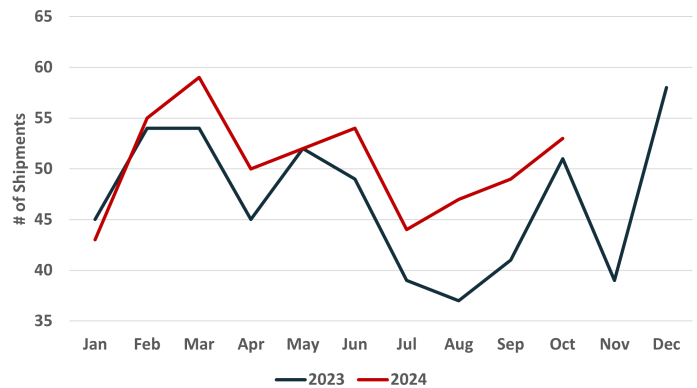
Capesize/Newcastlemax

Some factors suggest a bottoming process has begun. The ballaster/laden vessel ratio is at similar levels to early August, early June, and early February. China's iron ore consumption has rebounded, which is usually followed by a relative improvement for Capes (bottom right chart). Seasonal factors like increased Guinean bauxite shipments and Australian iron ore and coal shipments are in play for the next two months. So, it looks like there will be another rally before year-end. However, each spot market peak has been lower than the previous one since December last year, as China's fundamentals have worsened and the Kamsarmax market has dropped. We do not think there will be much change to this situation in the near-term, so it is likely that the next spot market peak will be lower than the one in late September.

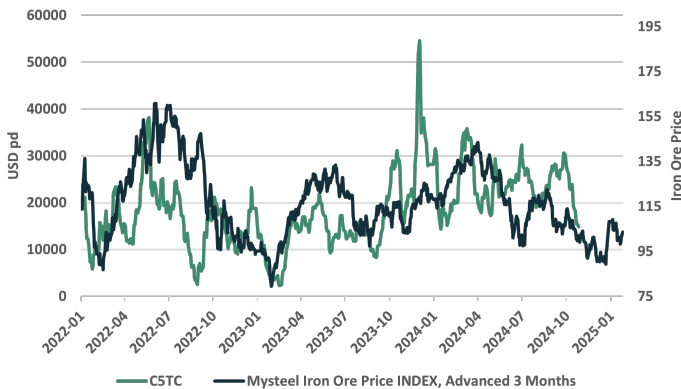
Australia Shipments, by Year



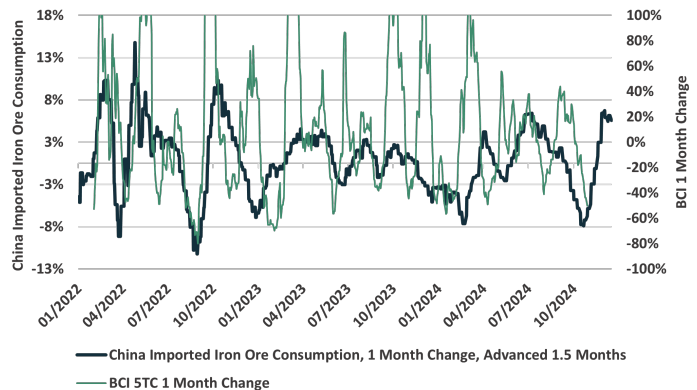
Guinea Shipments, by Year



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC



Panamax/Kamsarmax

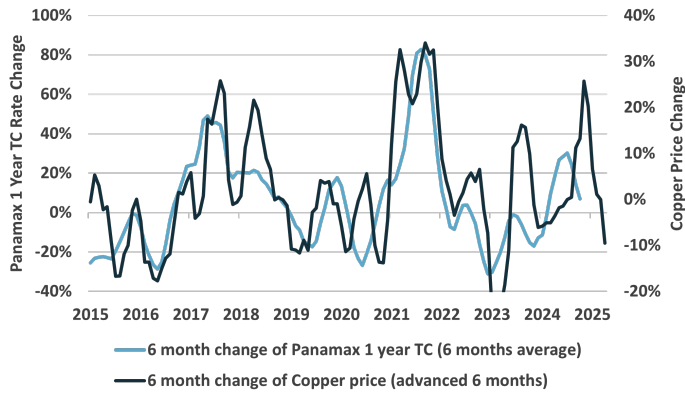
In our report two weeks ago, we wrote the following:

- *India coal imports: Longer monsoon than usual, sudden weakening of macroeconomic conditions, including steel demand.*
- *US grain exports: Volumes are higher than last year, but more than usual have been shipped on the West Coast compared to the Gulf.*
- *Brazilian Corn exports: Lower than forecasted by the IGC and USDA, also lower than last year.*
- *Macro: Sudden worsening of European and US manufacturing.*

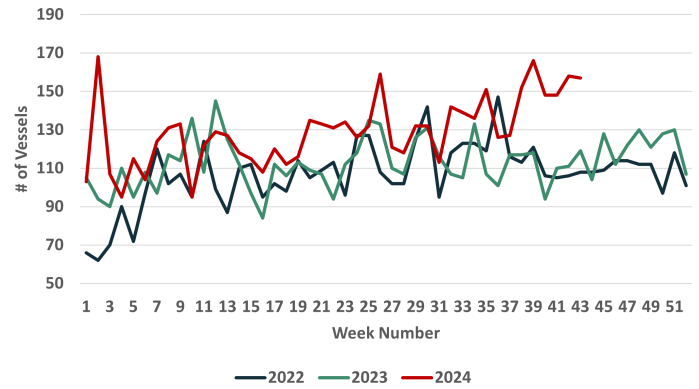
A seasonal increase in coal winter demand is the main factor we see now that could cause a rebound.

Seasonality suggest continued sluggishness for another two weeks, then perhaps a rebound.

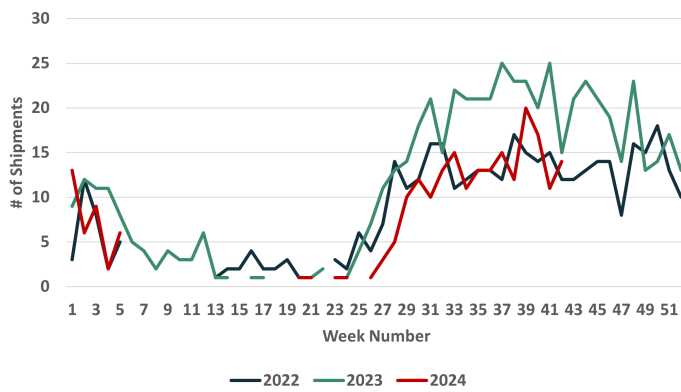
Copper Price Lead vs Panamax 1 Year TC



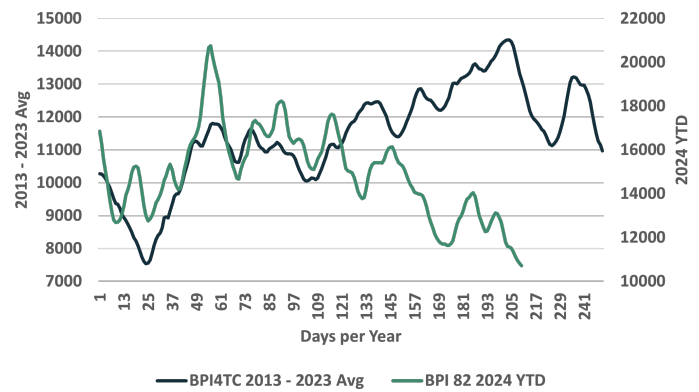
Panamax / Kamsarmax Indonesia & Australia Coal Shipments



Brazil Corn Shipments, by Year



Panamax / Kamsarmax Seasonal Average

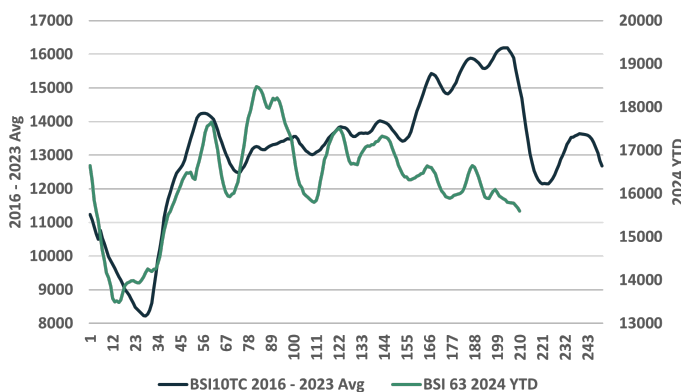


Supramax/Ultramax

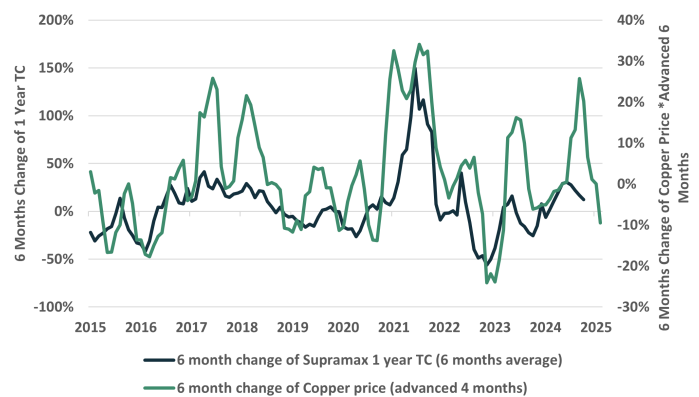
Volume growth remains strong in this segment, but the market has been weighed down by relatively lower volumes in the Atlantic and the weak Kamsarmax market.

The slow grind downward continues, but due to a seasonal increase in coal demand, this might be reversed in about two weeks.

Supramax Seasonal Market Movement

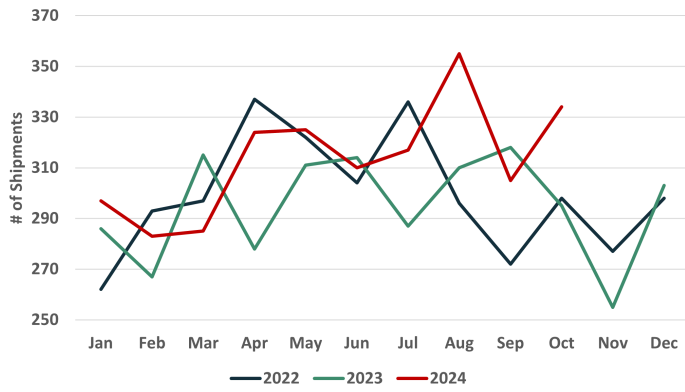


Copper Price Lead vs Supramax 1 Year TC

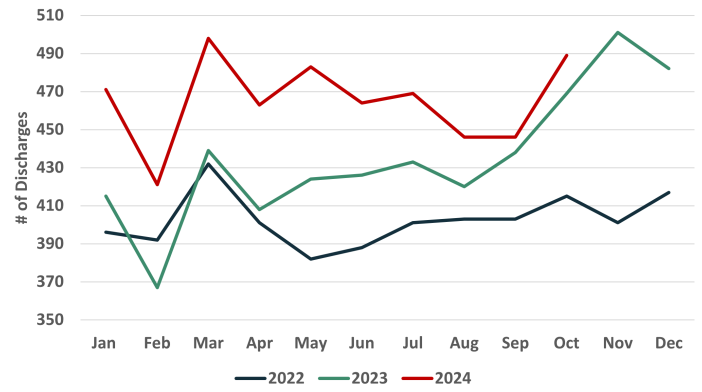




Americas Atlantic Side Loadings, by Year



India and South East Asia Discharges, by Year





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